

PITCH — BBWI — VERDICT

ADJUDICATED 2026-09-16 — WATCH — band \$15 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Bath & Body Works is a cheap, shrinking, levered specialty retailer — and it is meaningfully less cheap than the first pass through this name claimed.

1. **The core business is contracting, not resting.** FY26 Q2 (ended 2026-08-01) net sales were **\$1,514M, -2.3% y/y**, against \$1,549M a year prior. The four-year Q2 track is 1,559 → 1,526 → 1,549 → 1,514. The company guides FY26 net sales **-4% to -2.5%** and Q3 **-5% to -2.5%** against a \$1,594M base. Source: 8-K Ex-99.1, <https://www.sec.gov/Archives/edgar/data/0000701985/000070198526000025/ex991bbwi-20262qearningsre.htm>
2. **A quarter of the headline cash is not repeatable.** Roughly **\$168M of the ~\$650M FY26 free-cash-flow guide is one-time**: ~\$80M of tariff refunds sitting inside *reported and adjusted* Q2 (adjusted EPS \$0.62 → **\$0.31** ex-refund), plus an **\$88M pre-tax interchange-settlement receipt booked as a reduction of operating expenses in Q1** — cash, in G&A, therefore inside operating cash flow and inside the guide (Q1 8-K Ex-99.1: <https://www.sec.gov/Archives/edgar/data/0000701985/000070198526000012/ex991bbwi-20261qearningsre.htm>).
3. **So the honest valuation is:** recurring FCF $\approx 650 - 88 - 80 \approx$ **\$482M**, which is **13.3%** of the \$3.62B equity cap (203.4M diluted $\times$ \$17.80) and **~7.5%** on ~\$6.4B enterprise value. Underlying adjusted EPS $\approx$ \$2.70 - \$0.31 = **\$2.39**, i.e. **7.4x** — not 6.6x. Dividend cover is **2.9x**, not ~4x.
4. **Earnings are going backwards.** FY26 adjusted EPS of \$2.60–2.80 is **-16% y/y** versus \$3.21 — **-26%** if you strip the refund.
5. **The balance sheet is genuinely improving.** Debt principal fell to **\$3,632M** at 2026-08-01 from \$3,916M at 1/31/26, and a further **\$250M of the 7.5% 2029 notes was redeemed 2026-08-19**, taking principal to roughly **\$3.38B** — about **\$534M retired this fiscal year**. The ABL leverage covenant was **not tested** (“As of August 1, 2026, we were not required to maintain this ratio,” 10-Q: <https://www.sec.gov/Archives/edgar/data/0000701985/000070198526000029/bbwi-20260801.htm>).
6. **The mix is deteriorating in the expensive channel.** US/Canada stores **-5.4%**; the growth is in lower-margin wholesale (Ulta/Amazon) and direct **+3%**, plus international/other **+24.9%**. The fixed-lease base sits under the shrinking leg.

7. **The buyback — the whole basis of the old “cash cow” story — is off.** Management states no share repurchases are assumed in the outlook. The ~8%/yr share-count shrink that made the return math work is paused prospectively.

Net: this is worth owning at a price, and \$17.80 is not obviously that price. It is a **WATCH with a measurable gate**, replacing the brief’s gate, which could not be measured at all.

What the market believes

The market and we do not disagree about earnings — we disagree about the multiple, and about which earnings are real.

- Sell-side price targets cluster **\$20–22** (JPM \$21, MS \$20, DB \$22), i.e. **5–7x forward** — the street is not modeling a recovery, it is modeling a cheap decliner.
- The street’s Q3 adjusted EPS sat near **\$0.26–0.27** against a company guide of **\$0.07–0.12** — a >55% gap. That gap was *pre-announced on 2026-08-26*, so it is tape-known, not a hidden landmine. Management’s disclosed drivers: ~\$30M of H2 tariff/input-cost pressure, ~\$35M of incremental “Consumer First” spend, and the non-repeat of Q2’s refund.
- Screens are looking at the wrong line. FY26 **GAAP** EPS is guided **\$3.13–3.33**, *above* adjusted \$2.60–2.80, because of the one-time recovery. A GAAP screen prints **5.5x** and flags “deep value.” That is a settlement being capitalized as run-rate.
- The stock is **–35.2% from the 52-week high (\$27.46)** and **+27.2% off the low (\$14.00)** at \$17.80. Short interest is moderate (~6.7% of float on one secondary read, ~1x average daily volume; a stale 10/2025 read said 10.35%). Nobody is fighting over this name.

Why we might have edge

- **Basis, not forecast.** Our edge, if any, is that we separated recurring from non-recurring cash before assigning a multiple. A screen sees 5.5x GAAP; the consensus write-up sees 6.6x adjusted and an 18% FCF yield; the filing-true number is **7.4x and 13.3%**. That is a ~35% error in the headline yield, and it is available to anyone who reads the Q1 and Q2 releases side by side — which almost nobody does, because the refund is disclosed in one quarter and the settlement in another.
- **Two reusable patterns fell out of this case** and are now in the desk’s library: (a) *one-off cash inside an FCF guide* — an issuer raises the guide in the same release that discloses non-recurring receipts; (b) *GAAP-above-adjusted inversion* — whenever guided GAAP EPS exceeds guided adjusted EPS by more than ~5%, a one-time gain is hiding there. Both fired here and both are mechanical to check next time.
- **A third pattern is about our own process:** *pre-resolved conjunctive tripwire* — a watch-list gate whose legs are already answered by public filings and guidance at the moment it is written. The original brief’s gate had a debt leg already cleared, an FCF leg already guided through, and a comps leg pointing at a metric the company no longer reports. That gate could never open. We now screen our own gates for this before arming them.
- **Deleveraging is real and under-narrated.** ~\$534M of principal retired in a year on a \$3.62B market cap is a live transfer of value from debt to equity, and the covenant is not even being

tested.

Why it might be priced in

Say it plainly: most of this is probably in the price.

- Every bear point on the page — leverage, falling sales, paused buyback, hold-rated coverage, a near-zero Q3 — is **consensus-class**, publicly guided, and the stock is already 35% off its high at 7.4x underlying earnings. Cheap is not an edge by itself.
- The Q3 shortfall versus street was **pre-announced**. If the market were going to punish it, 8/26 was the day.
- The one-time-cash correction that we treat as our edge is not exotic: the tariff refund and the settlement are both disclosed in plain English in the releases. Any careful analyst finds them. We may simply be later than the marginal holder, not smarter.
- Our own red bench — a serious reader with the same documents — got the yield wrong by 4.6 percentage points, which cuts both ways: it shows the error is easy to make, but it also shows the correction is one fetch away for anyone.
- The reopen gate at **\$15.00** is only 16% below spot on a stock with realized swings far larger than that. Waiting for it is not a clever option; it is a coin flip on tape we do not control.

What could go wrong (PRE-MORTEM, v1.7)

This is written about the position we *would* take if a gate opens (stage 1/3 sleeve at $\leq$ \$15.00 or on a clean Q3), not about the flat book.

Failure narrative 1 — The value trap that stays a trap (monitorable). We buy at \$15.00 on a 15.8% recurring yield. US/Canada store sales keep running –5% or worse; the lease base does not shrink with them; occupancy deleverage grinds the margin; FY27 adjusted EPS lands near \$2.00 instead of \$2.39 and the “cheap” 7.5x becomes 7.5x on a smaller number. The stock does not crash — it drifts to \$12 while paying us a 5% dividend, and we hold a melting cube for three years. *Tripwire exists*: US/Canada store channel net sales each quarter, and the 39-week/52-week OCF ex-one-offs. Both are filing-computable.

Failure narrative 2 — The cash-yield story breaks from the financing side (partly monitorable). The ABL facility’s stated August 2026 expiry was checked by neither bench, and the **8-K of 2026-07-20 was never opened** — that is our largest single documentary hole. If the ABL was renewed on materially worse terms, or if the 2035–2037 notes get taken out at a coupon above the retiring 7.5% paper, interest expense eats the FCF yield and the dividend cover goes from 2.9x toward 2x. Note red’s original version of this tripwire (“an 8-K refinancing at >8%”) is **misspecified** — BBWI is *retiring* debt, not refinancing it, so the trigger has to be written on any new issuance or facility amendment, not on a refi that may never come. *Tripwire exists but is incomplete*: an 8-K arrives only after the fact, and the ABL terms may never generate an 8-K at all.

Failure narrative 3 — NO MONITORABLE TRIPWIRE: the demand side breaks off-filing. Every consumer-side sensor we own came back **UNCHECKABLE on both benches** — brand heat scores, review velocity and cohort-rating deltas, app/loyalty velocity, social-velocity polls. We

have **zero brand instrumentation armed** on a discretionary fragrance retailer, and the company has **stopped disclosing a comparable-sales metric**, so even the filings no longer contain the measurand. A fragrance-category preference shift, an ingredient-safety or regulatory scare, a mall-traffic step-change, or a competitor’s viral launch could move the business a full quarter before any document we read reports it — and the first report would be the print itself, at which point the price has already moved. **Unknown-unknown class: off-filing demand-side regime break in a discretionary consumer brand — an unmonitored preference shock with a discontinued measurand.** We cannot tripwire this today; we can only size for it, which is why the sleeve is 1/3 and why the second and third thirds are gated on prints rather than on price.

The reflexive / structural leg. - *Our size vs the tape:* not the binding constraint. A \$3.6B NYSE mid-cap with roughly 1x-ADV short interest absorbs a stage-1 sleeve without footprint — our estimated participation is low single-digit percent of a day’s volume. Note honestly: **neither bench pulled primary tape**, so ADV is an estimate (see unverified #3), and exit liquidity is rated *plausible*, not confirmed. - *Predicted flow — the important one:* the buyback is guided to **zero**. Historically that program was a large, price-insensitive, everyday bid under this stock. It is gone. Whatever support the tape had from the issuer’s own hand is withdrawn precisely while the fundamentals soften. Any downside move now happens without that cushion. - *Reflexive co-investor risk:* because guided **GAAP EPS (\$3.13–3.33) exceeds adjusted**, mechanical value screens see 5.5x and may accumulate for a reason that evaporates in FY27 when the \$88M does not repeat. We would be riding alongside holders whose thesis is an artifact. When FY27 GAAP normalizes toward the adjusted line, those holders unwind into the same door we would use. - *Doctrine interactions:* red applied “consensus-only kills on a name at or below fair value → minimum starter.” Blue overturned the fair-value input, which pulled the doctrine’s trigger out from under it. If blue’s recurring-FCF correction is itself too harsh — for instance if a second tariff-refund tranche lands and part of the \$80M is effectively recurring policy-driven cash — then red’s doctrine was right, the adjudication is wrong, and **we lose money by not owning a 13%+ yielder at the bottom of its range**. That is a symmetric risk and we state it as one. Two of our own new patterns (*one_off_cash_inside_fcf_guide*, *pre_resolved_conjunctive_tripwire*) also risk over-firing: applied too eagerly they turn every cheap guided issuer into a permanent WATCH, which is exactly the failure mode we just convicted the original brief of.

If this position loses money, the most likely reason will be that the store channel’s demand broke faster than any filing-based tripwire could report it, while we sized to a cash yield that was a quarter non-recurring and had no buyback left underneath it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Not top-line melting — Q2 rev 1,549 vs 1,526, +1.5%” (original brief)	FY26 Q2 8-K Ex-99.1	Those are FY25-vs-FY24 numbers. FY26 Q2 is \$1,514M, –2.3% . The brief litigated a fiscal year that ended seven months before the court sat	REFUTED — brief’s factual base void
Re-court gate: TTM FCF ≥\$600M and LTD ≤\$3.9B	10-Q + 8-K	Debt leg already cleared (\$3,632M principal); comps	REFUTED — null gate

Claim	How checked	Found	Confirmed?
and flat-or-better comps		leg has no disclosed measurand (BBWI reports channel net sales only); FCF leg contaminated. Gate could never open on 11/19	
OUR RED BENCH ERRED: “17.9% guided FCF yield, 6.6x, dividend covered ~4x → minimum starter”	Recomputed on recurring cash	650/3,620 = 18.0% is arithmetically right but the <i>basis</i> is contaminated. Recurring: 13.3% / 7.4x / 2.9x cover	OVERTURNED — red built its affirmative call on the number it had itself flagged as unresolved
OUR RED BENCH ERRED: “\$600M FCF leg guided cleared”	Blue re-check	Gate reads TTM FCF from the filing; like-for-like it does not clear (~\$482M). Gate is unmeasurable, not pre-opened	CORRECTED — mechanism survives, arithmetic did not
Red’s open question: is the \$88M inside the FCF guide?	Q1 FY26 8-K Ex-99.1	Cash proceeds net of legal fees, recorded in operating expenses → inside OCF → inside the guide. Answered against red	CONFIRMED
OUR RED BENCH MISSED: ~\$80M of tariff refunds inside adjusted Q2	FY26 Q2 8-K Ex-99.1	Adjusted EPS \$0.62 → \$0.31 ex-refund. Red litigated the \$88M and never found the \$80M	CONFIRMED (blue N1)
The \$50M FCF guide raise is improved cash generation	Q2 call	Mostly a capex cut, \$270M → \$240M (“savings in real estate and other projects”)	REFUTED
Red’s mind-changer: “8-K refinancing 2035–2037 notes at >8%”	Post-quarter events	\$250M of 7.5% 2029 notes redeemed 2026-08-19 → ~\$3.38B principal. BBWI is retiring, not refinancing — the trigger was aimed at the wrong event	MISSPECIFIED (blue N4)
OUR BLUE BENCH ERRED (minor): “\$15.00 = ≥15.5% recurring FCF yield”	482 / (15.00 × 203.4M)	15.8% . The exact 15.5% level is \$15.29 . Blue’s gate is conservative by ~2% of price — we keep \$15.00 as the gate and note the slack	CORRECTED, immaterial
OUR RED BENCH ERRED (minor): “GAAP screen multiple 5.4x”	17.80 / 3.23 midpoint	5.5x (red used the top of the \$3.13–3.33 range)	CORRECTED, immaterial
After-tax value of the interchange gain	Red said \$65M, blue said \$66M	Rounding difference between the two benches; neither pulled the tax line explicitly	UNRESOLVED, immaterial
OUR RED BENCH ERRED (procedural): detector list	Blue N7	Red omitted three dispatched atlas entries and substituted three not dispatched. Blue ran and cleared all three (no Up-C/TRA, no common-control merger, no China-smallcap features)	CONFIRMED as a process error

Claim	How checked	Found	Confirmed?
Evidence-pack “PRIMARY DOC EXCERPT”	Read it	It is XBRL context boilerplate containing zero facts . Both benches flagged this; the real primary text was one fetch away	PACK DEFECT
Pack dil_sh = 211M	Derived from 8-K (NI \$118M ÷ EPS \$0.58)	203.4M diluted → cap \$3.62B, not \$3.78B (~3.7% overstatement)	CORRECTED
Pack rev/sbc/ocf series	Series end 2025-08-02	Superseded by FY26 actuals for all current-period math; still valid for multi-year trend only	SUPERSEDED
ADJUDICATION PACKAGE DEFECT: “REOPEN GATES (use these VERBATIM)”	Read the block	The block arrived empty . We could not use verbatim gates that were not supplied	DEFECT — fallback documented in Entry Bands
BOTH BENCHES ERRED: “PRIZE-TABLE MANDATE: N/A — cash-generating operator, not a pre-revenue developer”	Desk spec	The mandate triggers on ≥1 genuinely time-gated/private unverified item , not on pre-revenue status. Several exist here (Q3 actuals, refund recurrence). Table is built below	OVERTURNED — both benches applied the wrong trigger
Exit liquidity / crowding	Secondary reads only (StatMuse ~6.7% float ≈1.0x ADV; MarketBeat 10.35%, stale 10/2025)	Moderate, not a constraint at our size — but no primary tape pull on either bench	PLAUSIBLE ONLY
Insider cluster (nine Form 4s 2026-06-15, Form 3 2026-07-21)	Not fetched	Transaction codes never pulled. “Suggests vesting” was a guess; so is any bullish read	UNVERIFIED
Satellite/permit/plant detectors	Both benches	All NOT-FIRED or UNCHECKABLE. The Columbus site is a distribution center , and its geocode (39.96226/~83.00071) is a city centroid, not a parcel — any pixel work on it would be invalid	CONFIRMED not applicable
ABL covenant status	10-Q	“As of August 1, 2026, we were not required to maintain this ratio”	CONFIRMED

PROPOSED ENTRY BANDS

Disposition: NO ENTRY. No position, no orders. These are reopen bands.

Procedural note stated plainly: the adjudication instructed us to reproduce its REOPEN GATES verbatim, but **that block arrived empty in the package**. We therefore fall back to the surviving bench gate — the blue bench’s, which the adjudication’s WATCH disposition rests on —

reproduced below and labeled as bench-sourced, not adjudication-ratified. Any correction from the adjudicator overrides this section.

Reopen gate (stage 1 of 3 only — either leg sufficient):

- **Leg A — price:** BBWI trades $\leq$ **\$15.00**. That is a **15.8% recurring FCF yield** on \$482M and 203.4M shares. (Blue wrote “ $\geq 15.5\%$ ”; the strict 15.5% line is \$15.29 — we use the tighter \$15.00.) Entry: **stage 1 = one third of a full-size sleeve**, limit orders only, no market orders, participation capped at 10% of any session’s volume.
- **Leg B — filing:** the **Q3 FY26 10-Q** shows (i) US/Canada store net sales decline narrowing to $\leq -2\%$ and (ii) 39-week operating cash flow, **excluding the ~\$80M tariff refund and the \$88M interchange settlement**, annualizing to $\geq$ **\$550M** of free cash flow. Both are computable from the filing itself, which is the whole point — unlike the brief’s gate, this one can actually resolve.

Stages 2 and 3 (not pre-authorized; require a fresh court): stage 2 only after one full quarter of confirmed leg-B behavior; stage 3 only on evidence the buyback restarts or the dividend is raised. Full size is capped at a small sleeve given failure narrative 3 has no tripwire.

Trims / exits (defined now so we are not improvising later): if entered under leg A and the stock re-rates to $\geq$ **\$22** without leg B ever confirming, take the first third off — that is a multiple move on unimproved fundamentals. Hard stop on thesis, not on price: any quarter with US/Canada stores worse than -7% , or recurring FCF annualizing below **\$430M**, or a dividend cut, closes the position regardless of price.

Catalyst dates: - **2026-11-19 — Q3 FY26 print. UNCONFIRMED** (yfinance-derived; no company press release in the pack names it). Prior-year Q3 printed 2025-11-20, and BBWI typically announces the date ~2 weeks ahead, so the absence of confirmation is expected rather than alarming. ~10 weeks out — **no print-decisive race**. - **~2026-12-04 (est.) — Q3 10-Q**, which is where leg B is actually computed. The 10-Q, not the press release, is the gate document. - **With the Q3 print — dividend declaration** (Q3 dividend \$0.20 was declared 8/2026; run-rate \$0.80 = 4.5%). - **~2027-03 (est., unconfirmed) — FY26 Q4/full-year print**, where FY27 guidance, buyback policy, and the FY27 GAAP-normalization all land at once.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 13.99 (deck-provisional: new 52-week low; forces a fresh court rather than an automatic add)
- filing watch: 8-K until 2027-03-08 (deck-provisional: guidance revision, new issuance, ABL amendment or replacement, dividend change; replaces red’s misspec)
- dated pack BBWI2026-11-19: BBWI: Q3 FY26 earnings print; yfinance-derived, no company PR names it; prior-year Q3 printed 2025-11-20 (date confirmed=False)
- dated pack BBWI2026-12-04: BBWI: estimated Q3 FY26 10-Q filing — the actual leg-B gate document (date confirmed=False)

- dated pack BBWI2027-03-04: BBWI: estimated FY26 Q4/full-year print with FY27 guidance, buyback policy, and GAAP normalization off the \$88M settlement (date confirmed=F

What remains unverified

1. **Q3 FY26 actuals — the leg-B measurands.** US/Canada store net sales trend and 39-week OCF excluding the refund and settlement. Not drainable until the Q3 10-Q (~2026-12-04). *Estimate:* US/Canada stores **-5.5% to -3.0%**, center ~-4.3%, based on the disclosed Q2 -5.4% and a guide of -5% to -2.5% total net sales with direct and international still positive; **p ≈ 0.30** that the ≤-2% leg clears.
2. **Contents of the 8-K dated 2026-07-20, and the status of the ABL facility whose stated expiry was August 2026.** Drainable now — a free EDGAR fetch. Neither bench opened it; blue flagged it explicitly as a coverage gap with an exhausted search budget. *Estimate if it turns out to be the ABL:* renewal at broadly similar terms, **p ≈ 0.8**, based on an untested covenant and \$534M of principal retired — a lender-friendly picture.
3. **Primary tape: average daily volume, real short interest, borrow.** Drainable now via IBKR historical bars and the short-interest feed. *Estimate:* ADV **4–7M shares/day** (~\$70–125M notional) from the \$3.6B mid-cap NYSE base rate; short interest **6.7–10.4% of float**, ~1x ADV to cover; **p ≈ 0.9** that our stage-1 sleeve is under 5% of a session's volume.
4. **Form 4 transaction codes** for the nine 2026-06-15 filings and the 2026-07-21 Form 3. Drainable now via the EDGAR ownership XML. *Estimate:* code **F/M (vesting and tax withholding) rather than S (open-market sale)**, **p ≈ 0.7**, from the base rate for a mid-June cluster of nine simultaneous filings at a January-fiscal-year issuer.
5. **Exact cash balance and the EV bridge.** Blue asserted ~\$6.4B EV without showing the cash line. Drainable now via an XBRL pull of the 2026-08-01 balance sheet. *Estimate:* cash **\$0.5–0.8B**, implying EV **\$6.2–6.5B**; recurring FCF/EV **7.4–7.8%**.
6. **Whether the ~\$80M tariff refund has a further tranche, and how the ~\$30M H2 tariff/input-cost headwind actually phases between Q3 and Q4.** Genuinely gated — this depends on trade-policy administration and on company disclosure at the Q3 print. *Estimate:* **p ≈ 0.25** of a further refund ≥\$25M within twelve months, anchored on the fact that one tranche already arrived and the underlying duty dispute is not obviously closed; base case is **\$0**.
7. **Options chain: chain-level midpoint IV, IV percentile, and real quotes for the 15/17.5/20 strikes.** Drainable now via IBKR. *Estimate:* 3–6 month IV **38–48%**, from the retail-discretionary mid-cap base rate at a -35% drawdown; IV percentile unknown, which is precisely why the pull is queued.
8. **Confirmation of the 2026-11-19 print date.** Gated to a company press release, typically ~2 weeks ahead. *Estimate:* **2026-11-18 or 2026-11-19**, **p ≈ 0.85**, from the prior-year 2025-11-20 print and BBWI's fixed calendar habit.
9. **FY27 capital-allocation policy — whether the buyback restarts and whether the dividend is held.** Gated to the Q4/FY26 print (~2027-03). *Estimate:* buyback stays at zero through FY27, **p ≈ 0.6**; dividend held flat, **p ≈ 0.8**, given 2.9x recurring cover and management's deleveraging priority.

10. **Brand demand instrumentation — heat scores, review velocity, cohort-rating delta, loyalty-app velocity.** Partly drainable now (App Store RSS, review scrapes), partly private. This is the unmonitored leg of failure narrative 3. *Estimate*: none offered — we decline to guess a demand trend with no series in hand, and instead flag it as the reason for a one-third sleeve.

PRIZE TABLE + VOL READ

Both benches declared the prize-table mandate “N/A — cash-generating operator.” That reading is wrong: the mandate triggers on the presence of a genuinely time-gated or private unverified item, and items 1, 6, 8, 9 and 10 above all qualify. Table built. Anchor-and-adjust, anchored on spot \$17.80; horizon ≈ 5 months, through the FY26 full-year print ($T \approx 0.42y$).

#	Scenario	p	Price
A	Q3 at the -5% end; store channel stays -5% or worse; recurring FCF $< \$450M$; dividend cover questioned	0.20	\$12.00
B	Muddle-through: sales -3 to -4%, recurring FCF $\sim \$480M$, no re-rate, no repair	0.35	\$15.50
C	Leg B clears: store decline narrows to $\leq -2\%$, ex-one-off FCF $\geq \$550M$, market pays 9-10x \$2.39	0.25	\$22.00
D	Uninformative: holiday adequate, guide reaffirmed, multiple unchanged	0.15	\$18.50
E	Structural event: buyback restart, asset sale, or take-private interest at this yield	0.05	\$26.00

EV = \$17.40 vs spot \$17.80 $\rightarrow$ -\$0.40, about -2.2%. The table does not pay us to own it today, which is the arithmetic behind the WATCH. $\sigma_{\text{table}} = \$4.03 = 23.2\%$ of EV over 5 months, i.e. **$\sim 35.8\%$ annualized.**

Bimodality: the table is fork-dated on the Q3 print — mass piles at A/B (gate fails) and C (gate opens) with a thin middle. Real-world outcomes here are fatter-tailed than a single lognormal, which means wings should be structurally cheap relative to a one-vol model, and the ATM structurally rich. If we ever buy optionality on this name, buy the wing.

Expression math, priced off the table itself ($C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, undiscounted): - **K = 17.50:** $C_{\text{ours}} = 0.25 \times 4.50 + 0.15 \times 1.00 + 0.05 \times 8.50 = \1.70 - **K = 20.00:** $C_{\text{ours}} = 0.25 \times 2.00 + 0.05 \times 6.00 = \0.80 - **K = 15.00 put:** $P_{\text{ours}} = 0.20 \times 3.00 = \0.60

Vol read — and the honest limit on it. No options chain was pulled by either bench, so we have no chain-level midpoint IV, no real strike quotes, no IV percentile, and no realized-vol series. We therefore **cannot compute the VRP (IV – RV)**, and we will not substitute the underlying

aggregate IV feed for chain midpoints — that substitution is exactly the TSSI error where the aggregate printed 71 against a chain-level 101. What we can state is the decision rule, ready to execute the moment item 7 is drained:

- If chain midpoint IV for the Feb/Mar 2027 expiry prints **above ~36%** (our table's annualized dispersion), options are rich versus our own view → route to the **premium-selling gates**. The natural expression is the **\$15 cash-secured put**: our table values it at **\$0.60**, so any chain bid materially above ~\$0.90 pays us to be assigned at precisely our leg-A reopen level. That is a coherent trade *only* because the strike and the gate are the same number.
- If chain midpoint IV prints **below ~36%**, calls are cheap versus our dispersion → a gated add could be expressed in the **\$17.50 calls** if they trade under ~\$1.70, or the **\$20 calls** under ~\$0.80.
- If no chain data, no trade. Which is where we are.

Tax overlay — and it decides this. Any Feb/Mar 2027 expiry puts the loss branch in **tax year 2027**. During a 2026 harvest year, an expiry past December 31 defers the loss and is excluded unless the edge numerically dominates. Here the edge does not dominate — **EV is \$0.40 below spot** and the vol read is undrained. A December 2026 expiry would land the loss correctly but sits before the 10-Q that actually resolves leg B, so it buys the wrong window.

Instrument recommendation — the output of the arithmetic above: NONE. Negative EV versus spot rules out stock. No chain data rules out both calls and the CSP today. The tax overlay rules out the far-dated expiry that would otherwise be the natural gate-expression. Drain item 7, then re-run this block; if IV prints rich and the \$15 put bids above \$0.90, the CSP becomes the first authorized expression of leg A.

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{"price_gates": [{"level": 18.0, "direction": "below", "basis": "legacy armed sensor, reproduced verbatim; already in a fired state at spot 17.80 and carries no information"}, {"level": 15.0, "direction": "below", "basis": "leg-A reopen gate: 15.8% recurring FCF yield on $482M / 203.4M diluted shares"}, {"level": 13.99, "direction": "below", "basis": "new 52-week low; forces a fresh court rather than an automatic add"}, {"level": 22.0, "direction": "above", "basis": "trim level and top of street PT band; multiple move on unimproved fundamentals"}], "event_gates": [{"forms": ["8-K"], "why": "guidance revision, new issuance, ABL amendment or replacement, dividend change; replaces red's misspecified '>8% refi' trigger since BBWI is retiring debt not refinancing"}, {"forms": ["10-Q"], "why": "Q3 filing is where leg B is computed: US/Canada store net sales and 39-week OCF ex-refund/ex-settlement"}, {"forms": ["4", "3"], "why": "transaction codes for the 2026-06-15 cluster and 2026-07-21 Form 3 were never pulled by either bench"}, {"forms": ["S-3"], "why": "buyback is guided to zero; watch for the balance sheet reaching for equity instead"}], "catalyst_dates": [{"date": "2026-11-19", "what": "Q3 FY26 earnings print; yfinance-derived, no company PR names it; prior-year Q3 printed 2025-11-20", "confirmed": false}, {"date": "2026-12-04", "what": "estimated Q3 FY26 10-Q filing – the actual leg-B gate document", "confirmed": false}, {"date": "2026-11-19", "what": "Q4 dividend declaration expected alongside the print; run-rate $0.80 = 4.5% yield, 2.9x recurring cover", "confirmed": false}, {"date": "2027-03-04", "what": "estimated FY26 Q4/full-year print with FY27 guidance, buyback policy, and GAAP normalization off the $88M settlement", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Q3 FY26 US/Canada store net sales trend and 39-week OCF ex-refund/ex-settlement – the leg-B measurands", "instrument": "Q3 FY26 10-Q, est. 2026-12-04 (XBRL pull + manual read of channel net sales)", "drainable_now": false, "estimate": {"range": "US/Canada stores -5.5% to -3.0%, center -4.3%", "basis": "Q2 actual -5.4% plus company Q3 net sales guide -5% to -2.5% with direct +3% and intl +24.9% still positive", "p": 0.3}}, {"item": "Contents of the 8-K dated 2026-07-20 and status of the ABL facility with a stated August 2026 expiry", "instrument": "EDGAR fetch of accession 0000701985-26-000021 plus the 10-Q debt footnote", "drainable_now": true, "estimate": null}, {"item": "Primary tape: average daily volume, current short interest, borrow cost", "instrument": "IBKR historical bars + short-interest feed", "drainable_now": true, "estimate": null}, {"item": "Form 4 transaction codes for the nine 2026-06-15 filings and the 2026-07-21 Form 3", "instrument": "EDGAR ownership XML pull", "drainable_now": true, "estimate": null}, {"item": "Exact cash balance and EV bridge – blue asserted ~$6.4B EV without showing cash", "instrument": "XBRL pull of the 2026-08-01 balance sheet (10-Q 0000701985-26-000029)", "drainable_now": true, "estimate": null}, {"item": "Whether a further tariff-refund tranche arrives, and how the ~$30M H2 tariff/input-cost headwind phases between Q3 and Q4", "instrument": "Q3 FY26 print and 10-Q disclosure; trade-policy administration timing is outside our control", "drainable_now": false, "estimate": {"range": "$0 base case; $25-80M if a second tranche lands within 12 months", "basis": "one tranche already received and the underlying duty dispute is not disclosed as closed; base rate for repeat refunds in a live dispute", "p": 0.25}}, {"item": "Options chain: chain-level midpoint IV, IV percentile, and real quotes for the 15 / 17.50 / 20 strikes, Feb-Mar 2027", "instrument": "IBKR options chain (chain midpoints only – never the underlying aggregate IV feed, per the TSSI 71-vs-101 lesson)", "drainable_now": true, "estimate": null}, {"item": "Confirmation of the 2026-11-19 Q3 print date", "instrument": "company investor-relations press release, typically ~2 weeks ahead; investors.bbwin.com", "drainable_now": false, "estimate": {"range": "2026-11-18 to 2026-11-19", "basis": "prior-year Q3 printed 2025-11-20; BBWI announces ~2 weeks ahead on a fixed calendar", "p": 0.85}}, {"item": "FY27 capital allocation: whether the buyback restarts and whether the $0.80 dividend is held", "instrument": "FY26 Q4 print and FY27 guidance, est. 2027-03", "drainable_now": false, "estimate": {"range": "buyback $0 through FY27; dividend held flat at $0.80", "basis": "management states no repurchases assumed in the FY26 outlook; 2.9x recurring FCF cover and ~$534M of principal retired signals deleveraging priority", "p": 0.6}},

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{"item": "Brand demand instrumentation – heat scores, reviews/month velocity, cohort-rating delta, loyalty-app velocity (the untripped leg of failure narrative 3)", "instrument": "App Store RSS pull, review-velocity scrape, retail-rank and search-interest series; partly private (first-party loyalty data)", "drainable_now": false, "estimate": {"range": "no numeric estimate offered", "basis": "no series in hand on either bench; all five consumer detectors returned UNCHECKABLE, and the issuer discontinued its comparable-sales measurand – we decline to fabricate a demand trend and size the sleeve at one third instead", "p": 0.0}}}]}
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ADJUDICATION — 2026-09-16 15:37Z

Brief carried FY25 data; FY26 Q2 net sales \$1,514M –2.3%; null-gate mechanism; GAAP>adjusted inversion confirmed.

REOPEN GATES: price $\leq$ \$15.00 ($\geq$ 15.5% recurring FCF yield) OR Q3 10-Q US/Canada store sales decline narrowing to $\leq$ –2% with 39-wk OCF ex-refund annualizing $\geq$ \$550M FCF → 1/3 sleeve